UNIT 9

RATIO ANALYSIS

Contents

9.1. Introduction
9.2. Meaning of accounting ratios
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9.8. Limitations of ratio analysis

Points to recall

The following points are to be recalled before learning ratio analysis:

- Statement of profit and loss
- Balance sheet
- Gross profit
- Net profit
- Cost of goods sold

Learning objectives

To enable the students to

- Understand the meaning and classification of accounting ratios
- Calculate various ratios

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Key terms to know

- Ratio
- Ratio analysis
- Liquidity ratios
- Long term solvency ratios
- Profitability ratios
- Turnover ratios
- Shareholders' funds

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